

He checked a wider view of the chart to see where support and resistance were located. The daily chart showed a ceiling of overhead resistance blocking an advance higher (line A). Price at the top of the big M, peaks C and E, smacked against that resistance and ducked.

“I checked the weekly chart going back to 2015, but didn't see much support between D and H. But look at H. It's tight with lots of overlap as price moves sideways. Very nice.” A loose-looking congestion region has price meandering all over the place, but H looked different. “H is my target. I think the stock will drop that far.”

“What about the knot at I?” I asked and circled it on the chart. “It'll support price. It's an energy barrier. When Chakotay and Seven hit one, they crashed. You don't want that to happen.”

He made a funny face.

“It's from *Star Trek: Voyager*.”

“I like football, baseball, and soccer: any sport with a ball.”

I wondered how he felt about polo, but decided not to ask. I pointed to I again.

“It's too close to the breakout. The stock will blow right through that without pausing and head down to H. Trust me. I do this for a living. I know what I'm talking about.”

My face didn't move a muscle, but inside I grinned and thought that his money was about to become someone else's.

He used the measure rule to determine how likely it would be for price to reach H. The top of the pattern is at C, 24, and the bottom is at D, 20.60, for a height of 3.40. The top of the region at H is at 14.50, or 1.75 times the height of the big M below the bottom of it.

From [Table 6.10](#), he calculated a 48% chance of reaching point H by interpolating the numbers of 55% (.55) of patterns reaching the target using the full height, and 26% (.26) of them using the 2× height. That is, $.26 + (.55 - .26) \times .75 = 48\%$ chance of the stock dropping to H. The .75 number is 75% of the distance from 1 to 2, which is where H (1.75 times the height) sits.